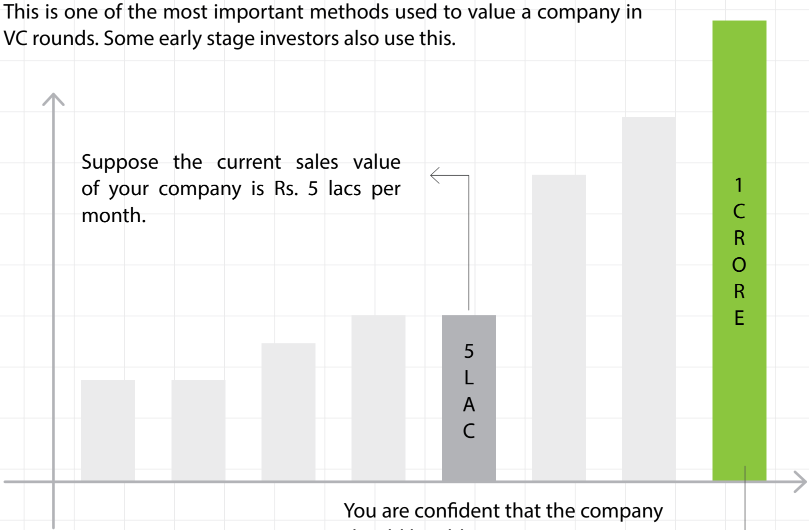
VC METHOD - EXIT METHOD

The next valuation method we will discuss is VC method or Exit method. This is one of the most important methods used to value a company in VC rounds. Some early stage investors also use this.

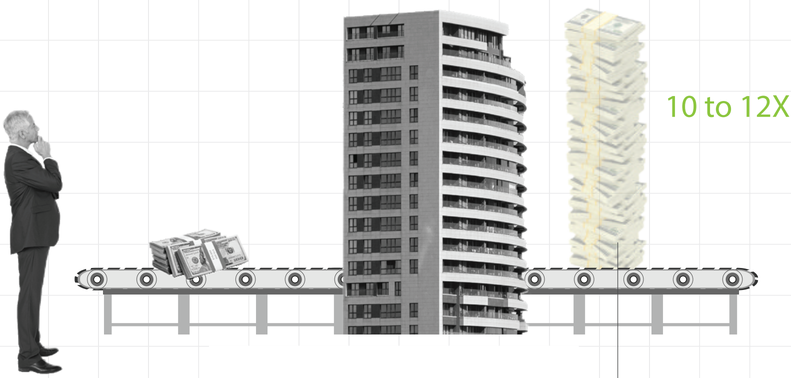


Suppose the current sales value of your company is Rs. 5 lacs per month.

You are confident that the company should be able to grow to Rs.1 crore in monthly revenue in 2 years.

Then, considering a sales multiple, if your company is selling Rs.1cr per month, then the valuation will stand at 50 cr. This number is reached by:

1 CR X 12 MONTHS (annual run rate) X 4 TIMES SALES VALUE = 50 CRORES (At time after 2 years)



F appreciation in 2 years. ks

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